

SENATE JUDICIARY COMMITTEE
Senator Noreen Evans, Chair
2013-2014 Regular Session

SB 233 (Leno and Correa)
As Amended April 22, 2013
Hearing Date: May 7, 2013
Fiscal: No
Urgency: No
BCP

SUBJECT

Debt Buyers

DESCRIPTION

This bill, the Fair Debt Buying Practices Act, would regulate the activities of a person or entity (debt buyer) that has bought charged-off consumer loans for collection purposes. Specifically, this bill would:

- prohibit a debt buyer from making any written statement in an attempt to collect a consumer debt unless the debt buyer possesses specified information;
- require the debt buyer to make that information available to the debtor, without charge, upon receipt of a request, within 15 days;
- require all settlement agreements between a debt buyer and a debtor to be documented in open court or otherwise in writing;
- require a debt buyer who receives a payment on a debt to provide a receipt or statement containing certain information;
- prohibit a debt buyer from initiating a suit to collect a debt if the statute of limitations on the cause of action has expired;
- require a debt buyer bringing an action on consumer debt to include certain information in his or her complaint; and
- prohibit an entry of judgment in favor of a plaintiff debt buyer unless business records, authenticated through a sworn declaration and proving ownership of the debt, are submitted by the debt buyer to the court.

This bill would provide that a debt buyer who violates the provisions of this bill is liable for specified damages, including costs and reasonable attorney's fees, but permits a debt buyer to avoid liability for unintentional bona fide errors.

This bill would also require a claim of exemption, and related financial statement form, to be provided to a judgment debtor by a levying officer, as specified.

(more)

BACKGROUND

Debt buyers are companies that purchase delinquent or charged-off debts from a creditor for a fraction of the face value of the debt. Those companies have become subject to increased scrutiny due to numerous complaints on behalf of consumers. The Federal Trade Commission (FTC) issued a report in July 2010 examining debt collection litigation and arbitration proceedings that concluded the “system for resolving consumer debt collection disputes is broken” and recommended significant reforms. (*Repairing a Broken System* (July 2010) Federal Trade Commission <<http://www.ftc.gov/os/2010/07/debtcollectionreport.pdf>> [as of May 3, 2013] at p. i.) The FTC further noted that:

The report finds very few consumers defend or otherwise participate in debt collection litigation. The Commission therefore recommends state and local governments consider making a variety of reforms to service of process, pleading, and court rules and practices to increase the ability of consumers to defend or otherwise participate in debt collection litigation. The report also finds complaints and attachments in debt collection cases often do not provide adequate information for consumers to answer complaints or for judges to rule on motions for default judgment. The FTC therefore recommends that courts more rigorously apply existing rules to require that collectors provide adequate information and that jurisdictions consider adopting rules mandating the information which must be included in or attached to the complaint. The report additionally finds that state statutes of limitations on filing actions to recover on debt are sometimes variable and complex, and generally not understood by consumers. The Commission suggests that states consider modifying their laws to make it simpler to determine the applicable statute of limitations, and to require that collectors provide consumers with important information about their legal rights when collecting debt they know or should know is time-barred. (*Id.* at p. 2.)

Additionally, on October 24, 2012, the federal Consumer Financial Protection Bureau (CFPB) published a rule to allow the agency to federally supervise the larger consumer debt collectors. The CFPB noted that:

Approximately 30 million Americans have, on average, \$1,500 of debt subject to collection. Debt collectors often report consumers’ collection status to the credit bureaus. If they get the information wrong, this can be the difference between getting approved or denied for such financial products as a mortgage or a car loan.

The consumer debt collection market covered by the rule includes three main types of debt collection: first, firms that may buy defaulted debt and collect the proceeds for themselves; second, firms that may collect defaulted debt owned by another company in return for a fee; and third, there are debt collection attorneys

that collect through litigation. A single company may be involved in any or all of these activities. By expanding the supervision program to oversee the nonbanks that are larger participants in the consumer debt collection market, the Bureau will now have a window into every stage of the process – from the origination of credit to debt collection.

The CFPB's supervision authority over these entities will begin when the rule takes effect on January 2, 2013. Under the rule, any firm that has more than \$10 million in annual receipts from consumer debt collection activities will be subject to the CFPB's supervisory authority. This authority will extend to about 175 debt collectors, which account for over 60 percent of the industry's annual receipts in the consumer debt collection market. (*Consumer Financial Protection Bureau to oversee debt collectors* (Oct. 24, 2012) Consumer Financial Protection Bureau <<http://www.consumerfinance.gov/pressreleases/consumer-financial-protection-bureau-to-oversee-debt-collectors/>> [as of May 1, 2013].)

In further response to the above issues, this bill, sponsored by Attorney General Kamala Harris, seeks to make numerous changes relating to debt buyers, including prohibiting a debt buyer from making a written statement to collect a consumer debt without possessing specific information, requiring a complaint in an action to collect on a consumer debt to include specific allegations, and prohibiting a debt buyer from bringing suit if the applicable statute of limitations has expired.

This bill was approved by the Senate Committee on Banking & Financial Institutions on April 17, 2013, by a vote of 8-0, and is similar to SB 890 (Leno, 2011), which was approved by this Committee but failed passage in the Assembly Committee on Banking & Finance.

CHANGES TO EXISTING LAW

1. Existing federal law generally regulates the collection of debt through, among other things, the Fair Debt Collection Practices Act, Fair Credit Reporting Act, and the Gramm-Leach-Bliley Act.

Existing state law, the Rosenthal Fair Debt Collection Practices Act, generally prohibits deceptive, dishonest, unfair, and unreasonable debt collection practices by debt collectors, and regulates the form and content of communications by collectors to debtors and others. (Civ. Code Sec. 1788 et seq.)

This bill would establish the Fair Debt Buying Practices Act and prohibit a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses the following information:

- the debt buyer is the sole owner of the debt or has authority to assert the rights of all owners of the debt;

- the debt balance at charge off and an explanation for all post-charge-off interest rates and fees, if any, imposed by charge-off creditor or any subsequent purchasers of the debt;
- the date of default or date of the last payment;
- the name and address of the charge-off creditor at the time of charge off, and the charge-off creditor's account number associated with the debt;
- the name and last known address of the debtor as they appeared in the charge-off creditor's records prior to the sale of the debt; and
- the names and addresses of all persons or entities that purchased the debt after charge off, including the debt buyer making the written statement;

This bill would prohibit a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer has access to a copy of the contract or other document evidencing the debtor's agreement to the debt. If the claim is based on debt for which no signed contract or agreement exists, the debt buyer shall have access to a copy of a document provided to the debtor while the account was active, demonstrating that the debt was incurred by the debtor.

This bill would require a debt buyer to provide the information or documents identified above to the debtor without charge within 15 calendar days of receipt of a debtor's written request for information regarding the debt or proof of debt. If the debt buyer cannot provide the information or documents within 15 calendar days, the debt buyer shall cease all collection of the debt until the debt buyer provides the information or documents. A debt buyer must provide an active postal address to which these requests can be sent, and may provide an active email address to which these requests can be sent and through which information and documents can be delivered.

This bill would require a debt buyer to include a prominent statutory notice with its first written communication with the debtor that is in no smaller than 12-point type, as specified.

This bill would provide that when a debt buyer attempts to collect on a time-barred debt where the debt is not past the date for obsolescence, the buyer must provide the following notice: "The law limits how long you can be sued on a debt. Because of the age of your debt, we will not sue you for it. If you do not pay the debt, [insert name of debt buyer] may [continue to] report it to the credit reporting agencies as unpaid for as long as the law permits this reporting." If the debt is both time-barred and past the date for obsolescence, the debtor shall provide the following notice: "The law limits how long you can be sued on a debt. Because of the age of your debt, we will not sue you for it, and we will not report it to any credit reporting agency."

This bill would state that if a language other than English is principally used by the debt buyer in the initial oral contact with the debtor, the above-required notices shall be provided to the debtor in that language within five working days.

This bill would require all settlement agreements between a debt buyer and a debtor to be documented in open court or otherwise reduced to writing, and, the debt buyer shall ensure that a copy of the written agreement is provided to the debtor.

This bill would require a debt buyer that receives payment on a debt to provide, within 30 calendar days, a receipt or monthly statement to the debtor, as specified. A debt buyer that accepts a payment as payment in full, or as a full and final compromise of the debt, shall provide, within 30 calendar days, a final statement to the debtor. A debt buyer shall not sell an interest in a resolved debt or any personal or financial information related to the resolved debt.

This bill would prohibit a debt buyer from bringing suit or initiating an arbitration or other legal proceeding to collect a consumer debt if the applicable statute of limitations on the debt buyer's claim has expired.

This bill would provide that in an action brought by a debt buyer on a consumer debt, the complaint shall allege all of the following:

- that the plaintiff is a debt buyer;
- the nature of the underlying debt and the consumer transaction or transactions from which it is derived, in a short and plain statement;
- that the debt buyer is the sole owner of the debt at issue, or has authority to assert the rights of all owners of the debt;
- the debt balance at charge off and an explanation of the amount, nature, and reason for all post-charge-off interest and fees, as specified;
- the date of default or date of the last payment;
- the name and an address of the charge-off creditor at the time of charge off, and the charge-off creditor's account number associated with the debt;
- the names and addresses of all persons or entities that purchased the debt after charge off; and
- that the debt buyer has complied with specified requirements of this bill.

This bill would require a copy of the contract or other document that evidences the debtor's agreement to the debt to be attached to the complaint.

This bill would provide that the above requirements shall not be deemed to require the disclosure in public records of personal, financial, or medical information, the confidentiality of which is protected by any state or federal law.

This bill would provide that in an action initiated by a debt buyer, no default or other judgment may be entered against a debtor unless business records,

authenticated through a sworn declaration, are submitted by the debt buyer to the court to establish specified facts required to be alleged in the complaint.

This bill would prohibit a default or other judgment from being entered against a debtor unless a copy of the contract or other document, as specified, authenticated through a sworn declaration, has been submitted by the debt buyer to the court.

This bill would provide that in any action on a consumer debt, if a debt buyer plaintiff seeks a default judgment and has not complied with the above requirements, the court shall not enter a default judgment for the plaintiff and may, in its discretion, dismiss the action.

This bill would provide that in the case of an action brought by an individual or individuals, a debt buyer that violates any provision above with respect to any person shall be liable to that person in an amount equal to a sum of: (1) actual damages; and (2) statutory damages, which shall not be less than \$100 nor greater than \$1,000.

This bill would provide that, in the case of a class action, a debt buyer that violates any of the above provisions shall be liable for statutory damages for each plaintiff, and, if the court finds that the debt buyer engages in a pattern and practice of violating any provision of this bill, the court may award additional damages to the class in an amount not to exceed the lesser of \$500,000 or one percent of the net worth of the debt buyer.

This bill would provide that, in the case of any successful action to enforce liability under this bill, the court shall award the costs of the action, together with reasonable attorney's fees as determined by the court.

This bill would allow reasonable attorney's fees to be awarded to a prevailing debt buyer upon a finding by the court that the plaintiff's prosecution of the action was not in good faith. This bill would also provide that a debt buyer shall have no civil liability if the debt buyer shows by a preponderance of evidence that the violation was not intentional and resulted from a bona fide error, and occurred notwithstanding the maintenance of procedures reasonably adopted to avoid any error.

This bill would require an action to enforce any liability created by this bill to be brought within one year from the date of the last violation. This bill would further state that recovery in an action brought under the Rosenthal Fair Debt Collection Practices Act shall preclude recovery for the same acts in an action brought under this bill.

This bill would further provide that in a case involving consumer debt, as regulated by this bill, if the defendant debtor appears for trial on the scheduled trial date, and

the plaintiff debt buyer either fails to appear or is not prepared to proceed to trial, and the court does not find a good cause for continuance, the court may, in its discretion, dismiss the action with or without prejudice. The court may also award the defendant debtor's costs of preparing for trial, including, but not limited to, lost wages and transportation expenses.

This bill would additionally define "debt buyer," apply the above provisions to consumer debt sold or resold on or after January 1, 2014, and make related findings and declarations.

2. Existing law establishes a process for the enforcement of money judgments and requires a levying officer to provide certain documents and information to a judgment debtor and to a designated employer in connection with wage garnishment. Existing law permits a process server also to serve an earnings withholding order on an employer and requires that the process server also serve certain documents at this time. Existing law requires an employer who is served with an earnings withholding order to provide certain documents to an employee who is a judgment debtor. (Code Civ. Proc Secs. 700.010; 706.103; 706.104; 706.108; 706.122.)

This bill would require, in the circumstances described above, that a copy of the form that the judgment debtor may use to make a claim of exemption and a copy of the form used to provide a financial statement also be provided.

COMMENT

1. Stated need for the bill

According to the author:

[T]he Federal Trade Commission [(FTC) has stated that], [t]he system for resolving disputes about consumer debts is broken, and has urged states to pass legislation to provide adequate protection for consumers.

The system is broken because courts have been swamped with debt collection law suits driven by the growth of an industry that buys and sells bundled portfolios of consumer debt, and misuses the courts to leverage their collection efforts.

The industry's practices echo the scandal surrounding the processing of delinquent mortgages. Here, debt buyers use "robo signers" who sign affidavits averring that they have reviewed and verified debtors' records, when they have only reviewed basic, and often incomplete, account statements records or spreadsheets on a computer screen. Moreover, because consumer debt is being bought and sold so frequently, and over a period of years, companies are

frequently pursuing the wrong person, or the filing claims that have no lawful basis.

Frequently, these debt collection actions are filed by debt buyers without proof that the debt ever existed. Yet actions proceed to judgment because ninety-five percent of consumers do not respond to these lawsuits — many because they do not receive notice — allowing the debt collector to take a default judgment against the consumer and levy against the consumer's personnel accounts.

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The Fair Debt Buyers Act would reform the debt collection litigation process in a number of ways to aid consumers and unburden the courts from costly, unmeritorious litigation.

2. Implementing the FTC's recommendations

As noted above, the FTC recently released a comprehensive report entitled *Repairing A Broken System: Protecting Consumers in Debt Collection Litigation and Arbitration* that contained recommendations for reforms similar to those proposed by this bill.

a. Complaints must include detailed information

The FTC found that complaints filed by debt collectors to initiate collection actions against debtors were lacking. The FTC's report noted that "[t]he function of debt collection complaints in a notice pleading system is to provide sufficient information so that: (1) consumers can determine whether to admit or deny the complaint allegations and assert affirmative defenses in their answers; and (2) judges can determine whether to grant a motion for a more definite statement or enter a default judgment. . . . Based on the evidence gathered in connection with these proceedings, the FTC believes that many debt collection complaints do not provide this information to consumers." To address that issue, this bill would, among other things, enhance the complaint so that the debtor has more complete information regarding the debt at issue, and, in turn, is able to respond appropriately to the complaint.

Specifically, the bill would provide that in an action brought by a debt buyer on a consumer debt, the complaint must allege: (1) that the plaintiff is a debt buyer; (2) the nature of the underlying debt and the transaction from which it is derived; (3) that the debt buyer is the sole owner or has authority to assert the owners rights; (4) the debt balance at charge off and the reason for all post-charge-off interest and fees; (5) the date of the last payment; (6) the name and address of the charge-off creditor, and the creditor's account number; (7) the name and last known address of the debtor as they appear in the charge-off creditor's records; and (8) the names and addresses of all entities that purchased the debt after charge off. The complaint must also allege that the debt buyer

complied with this bill's requirement for debt buyers to possess specific information before making a written statement to a debtor in an attempt to collect the debt. Regarding the necessity of requiring additional information from debt buyers when they seek to collect upon debt, Consumers Union (CU), in support, contends that "[t]ens of thousands of Californians are contacted every year by debt buyers they have never done business with, for debts that may be old or in an amount that doesn't match the consumer's memory or records. The debt may even be owed by someone else or the result of identity theft. Yet some debt buyer[s] have little more than a robo-signed affidavit to back up their claims in court." To address the reported abuses, the detailed complaint requirements would appear to provide consumers with necessary information about the debt for which collection is attempted, and in turn, allow those consumers to file an appropriate answer to the complaint.

It is important to note that many of the complaints currently filed by some debt buyers are simply form complaints that provide little, if any, useful information to the consumer being sued about the underlying debt. Regarding the filing practices of some of those firms, the New York Times' October 31, 2010 article entitled *Debt Collectors Face a Hazard: Writer's Cramp* reported that:

In some instances, banks are selling account information that is riddled with errors. More often, essential background information simply is not acquired by debt buyers, in large part because that data adds to the price of each account. But court rules state that anyone submitting an affidavit to a court against a debtor must have proof of that claim — proper documentation of a debt's origins, history and amount.

Without that information it is hard to imagine how any company could meet the legal standard of due diligence, particularly while churning out thousands and thousands of affidavits a week. Analysts say that affidavit-signers at debt-buying companies appear to have little choice but to take at face value the few facts typically provided to them — often little more than basic account information on a computer screen. (Segal, *Debt Collectors Face a Hazard: Writer's Cramp* (Oct. 31, 2010) New York Times <<http://www.nytimes.com/2010/11/01/business/01debt.html?pagewanted=all>> [as of May 3, 2013].)

b. Disclosure of information prior to judgments

To ensure that the court has sufficient information about the underlying debt, this bill would prohibit a default or other judgment from being entered against a debtor until the debt buyer submits business records that have been authenticated through sworn declaration and establish specified facts regarding the debt. Specifically, those records must show proper ownership of the debt, the debt balance and reason for any post-charge-off fees, date of default or last payment, and the name and

address of the charge-off creditor, debtor, and all persons or entities who purchased the debt after charge-off. Furthermore, the debt buyer must also provide a copy of the contract or other document evidencing the debtor's agreement to the debt, authenticated through sworn declaration, prior to entering a default or other judgment against a debtor. As a result, the proposed requirements would appear to ensure that the court has relatively detailed information about the nature and history of the debt.

It should be noted that a large percentage of debt collection actions reportedly result in default judgments. Those judgments are entered in favor of the plaintiff (debt buyer) due to the failure of the defendant (consumer) to file a timely response to the complaint.

When those consumers fail to respond, there is no advocate to raise, on their behalf, applicable defenses or challenge the assertions made by the debt buyer. The FTC's report noted concern about the number of default judgments and recommended steps to "increase consumer participation in debt collection litigation to help decrease the prevalence of default judgments," and noted that "[i]n an effort to address this problem in another way, some court systems have adopted measures to encourage judges to apply appropriate and consistent standards – including legal standards and court rules – in deciding whether to grant such judgments." (*Repairing a Broken System* (July 2010) Federal Trade Commission <<http://www.ftc.gov/os/2010/07/debtcollectionreport.pdf>> [as of May 3, 2013] at p. 20.) The requirements discussed above essentially provide a set of consistent standards for a judge to use when granting a default judgment.

This bill would also provide that if a debt buyer seeks a default judgment and has not complied with the requirement of this bill, the court shall not enter a default judgment and may dismiss the action. Similarly, if a defendant debtor appears for trial and the plaintiff debt buyer fails to appear or is not prepared to proceed (and there is no good cause for continuance), the court may dismiss the action and award the defendant debtor's costs for preparing for trial.

c. Statute of limitations

The FTC's report also expressed concern that certain collectors "regularly sue consumers on time-barred debts." That practice is exacerbated by the practical reality that many consumers do not defend themselves against these suits, even when the action would be barred by the statute of limitations. The FTC further asserted that "[b]ecause an expired statute of limitations is an affirmative defense in most states, collectors have no obligation to allege in the complaint that the debt is not time-barred, and many collectors do not include this information. If consumers do not defend, there is no one to raise the defense that the debt is time-barred. Indeed, some judges who participated in the roundtables stated that, even if a debt collection action appears to be time-barred, it would be

improper for courts to consider affirmative defenses that no party had raised. As a result, some courts appear to be granting default judgments on time-barred debt.” (*Repairing a Broken System* (July 2010) Federal Trade Commission <<http://www.ftc.gov/os/2010/07/debtcollectionreport.pdf> > [as of May 3, 2013] at p. 30.)

This bill would address those issues by, among other things, prohibiting a debt buyer from bringing suit or initiating an arbitration or other legal proceeding to collect a consumer debt if the applicable statute of limitations has expired, and requiring a debt buyer to notify a debtor if a debt is time-barred. Regarding the need to address the issue of time-barred debts, the Attorney General, sponsor, asserts:

Industry practices have become a significant focus of public concern due to collection efforts being directed to the wrong consumer, or seeking the collection of debt that is time barred or has been paid. These concerns are compounded because a very high percentage of debt collection litigation results in default judgments where consumers do not appear to present whatever defenses may be available to them.

3. Additional limitations on debt collection

This bill would additionally prohibit a debt buyer from making a written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses specific documentation regarding the debt. The debt buyer must make that information available, without charge, to the debtor within 15 calendar days of receipt of a request. If the debt buyer cannot provide the information within that time frame, the debt buyer must cease all collection of the debt until the information is provided.

In support of the documentation requirements, AARP notes that “[t]he elderly are disproportionately victims of identity theft and are thus often targeted with lawsuits for debts they never obtained or authorized. . . . This legislation will provide crucial protections to ensure that the senior will not be subjected to this type of unwarranted harassment, requiring that debt buyers have essential information about a debt before they try to collect the debt and that the information be shared with the consumer on request. . . .”

4. Remedies

This bill would provide specific penalties and damages against a debt buyer who violates the above requirements. Specifically, the debt buyer would be liable to the consumer in an amount equal to the actual damages plus statutory damages (between \$100 and \$1000 per violation per person), and also would allow a prevailing debtor to receive reasonable attorney’s fees and costs. This bill would

also provide that in any class action where a court finds that the debt buyer engaged in a pattern and practice of violating this bill, the court may award additional damages in an amount not to exceed the lesser of \$500,000 or one percent of the net worth of the debt buyer.

It should be noted that this bill would also limit the liability of debt buyers if the buyer shows that the violation was not intentional and resulted from a bona fide error, and occurred notwithstanding the maintenance of procedures reasonably adopted to avoid any error. That safe harbor provision would appear to shield debt buyers from liability in cases where the error was truly inadvertent.

5. Claim of exemption

Under existing law, a judgment debtor can claim that his or her property or money is exempt from collection efforts. Those claims may be filed with the levying officer within 10 days after the date the notice of levy was served on the judgment debtor, and must include a financial statement. (Code Civ. Proc. Secs. 703.520, 703.530.) To facilitate exemptions, this bill would require the levying officer enforcing a money judgment to also provide a copy of the forms that the judgment debtor may use to make a claim of exemption and provide a financial statement, as specified.

Support: AARP; Center for Responsible Lending; Consumers Union; East Bay Community Law Center; Encore Capital Group; Public Law Center

Opposition: None Known

HISTORY

Source: Attorney General Kamala Harris

Related Pending Legislation: SB 702 (Anderson) would require applications for default judgment to contain specified information. This bill is set for hearing in this Committee on May 7, 2013.

Prior Legislation: SB 890 (Leno, 2011) *See* Background.

Prior Vote: Senate Committee on Banking & Financial Institutions (Ayes 8, Noes 0)
